

ATG

HOLDINGS

Consolidated Investment Proposal

Integrated Agriculture, Agro-Processing & Dairy Value Chain Initiative

PILLAR 1

Coffee

E 9.4M

PILLAR 2

Water

E 0.3M

PILLAR 3

Dairy

R 32M

E 41.7M

TOTAL INVESTMENT

396%

5-YEAR ROI

Submitted to: Public Service Pensions Fund (PSPF)

Prepared by: Alex Tsela Global (ATG) Holdings

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Date: January 2026

CONFIDENTIAL — INVESTMENT MEMORANDUM

ATG Holdings — Consolidated Investment Proposal

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Document Classification: Confidential — Investment Memorandum

Executive Summary

Alex Tsela Global (ATG) Holdings presents this comprehensive investment proposal to the Public Service Pensions Fund (PSPF) for funding of an **Integrated Agriculture & Food Processing Initiative** in the Kingdom of Eswatini. This proposal consolidates three strategic pillars designed to address critical gaps in Eswatini's economy:

#	Project Pillar	Investment Required	Key Outcome
1	Large-Scale Coffee Production	E 9,372,213	60 hectares, 240,000 trees, export revenue
2	Spring Water Bottling	E 304,000	Immediate cash flow, premium market
3	Dairy Value Chain	R 32,000,000	Import substitution, food security
	TOTAL INVESTMENT	E 41,676,213	National food security & economic growth

Investment Highlights at a Glance

Metric	Value
Total Investment Requested	E 41,676,213
Total Land Under Development	102+ hectares (3 farms)
Coffee Seedlings	240,000 Arabica trees
Dairy Capacity	10,000 liters/day (3,000,000L/year)
Jobs Created	150+ direct, 500+ indirect
5-Year Revenue Projection	E 450+ million cumulative
Projected ROI	45-55% by Year 3
Import Substitution	E 130M+ annually (coffee + dairy)

Why This Investment?

- **Government Priority:** Coffee, dairy, and food security are strategic national priorities under PM Russell Dlamini
- **Massive Import Gap:** Eswatini imports 76% of dairy (~E66M/year) and E2.3M coffee annually
- **Guaranteed Markets:** Pre-arranged off-take agreements for coffee; domestic demand for dairy
- **Diversified Revenue Streams:** Three complementary projects reduce risk
- **ESG Alignment:** Job creation, youth empowerment, smallholder farmer support

1. Company Overview

About ATG Holdings

Alex Tsela Global (ATG) Holdings is an Eswatini-based investment and development company focused on sustainable agriculture, agro-processing, and food security initiatives.

Field	Information
Company Name	Alex Tsela Global (ATG) Holdings
Registration	Kingdom of Eswatini
Sector	Agriculture, Agro-processing, Dairy, Natural Resources
Chairman	Alex Tsela
Project Manager	Geoffrey M. Tsela
Contact	Alex@satsi.co.za

Our Vision

To develop sustainable, high-value agricultural and food processing enterprises that create employment, generate export revenue, ensure food security, and contribute to Eswatini's economic diversification.

Our Mission

To establish ATG Holdings as a leading agribusiness entity in Southern Africa, specializing in: - Premium agricultural products for export markets - Dairy processing for domestic food security - Value-added agro-processing for import substitution

2. The Three Pillars — Project Overview

This consolidated proposal integrates three complementary projects that together create a diversified, resilient agricultural investment portfolio:

Portfolio Structure

ATG HOLDINGS INVESTMENT PORTFOLIO		
PILLAR 1	PILLAR 2	PILLAR 3
COFFEE	SPRING WATER	DAIRY
E 9,372,213	E 304,000	R 32,000,000
(22%)	(1%)	(77%)
Long-term Export Revenue	Immediate Cash Flow	Domestic Food Security Import Substitution
Revenue: Year 3+	Revenue: Month 1	Revenue: Month 3

Risk Diversification Strategy

Risk Factor	Coffee	Spring Water	Dairy	Portfolio Benefit
Time to Revenue	3 years	Immediate	3 months	Balanced cash flow
Market Risk	Export (guaranteed)	Domestic	Domestic	Geographic diversity
Climate Risk	Medium	Low	Low	Hedged exposure
Regulatory Risk	Low	Medium	Medium	Spread compliance

PILLAR 1: Large-Scale Coffee Production

Investment: E 9,372,213

3. Coffee Project — Market Opportunity

3.1 Global Coffee Market

Metric	Value
Global Market Value (2024)	USD 269.27 billion
Projected Value (2030)	USD 369.46 billion
Annual Growth Rate (CAGR)	5.3%
Daily Consumption	2.25 billion cups worldwide
Supply Deficit	5.8 million bags

3.2 Eswatini Coffee Landscape

Metric	Value
Annual Coffee Imports	USD 2.32 million
Annual Coffee Exports	USD 267,000
Trade Deficit	USD 2.05 million
Local Production Gap	Significant opportunity

Key Insight: Eswatini is a **net importer** of coffee. Local production directly substitutes imports and retains forex in the economy.

4. Coffee Project — Farm Locations & Scale

ATG Holdings has secured access to **three strategic farm sites** totaling over **100 hectares**, all inspected and approved by international coffee expert **Mr. Patrick DuPont**.

4.1 Farm Site Summary

Location	Total Area	Coffee Area	Perimeter	Coffee Seedlings
Tikhuba	20.8 Ha	10 Ha	4,019m	40,000
Gamula	81.3 Ha	30 Ha	4,968m	120,000
Mpolonjeni (HQM)	—	20 Ha	—	80,000
TOTAL	102+ Ha	60 Ha	9,000m+	240,000

4.2 Tikhuba Detailed Breakdown (Primary Site)

Field	Area	Perimeter
Field 1	6.2 hectares	1,128.94m
Field 2	3.4 hectares	1,001.50m
Field 3	5.5 hectares	898.90m
Field 4	5.7 hectares	989.60m
Total	20.8 hectares	4,018.94m

4.3 Expert Assessment

"The whole area is outstandingly ideal for coffee plantation."
— **Patrick DuPont**, International Coffee Expert

5. Coffee Project — Detailed Budget

5.1 Fencing & Infrastructure — E 672,213

Based on verified quotations from Mr. S. Mavuso:

#	Item	Qty	Unit Price (E)	Total (E)
1	Veld Span Fence (100M × 1.5M × 15cm)	80	2,700.00	216,000.00
2	Treated Fence Poles (2.4M)	2,000	93.46	186,920.00
3	Steel Poles (2.4M)	20	258.75	5,175.00
4	Steel Stay Poles	240	121.13	29,071.20
5	Fencing Staples (U-Nails) 32mm galvanized	10	60.82	608.20
6	Gate – Diamond Mesh Double (1.8H × 3M)	6	1,065.60	6,393.60
7	Gate – Diamond Mesh Single (1.8H × 0.9M)	4	552.00	2,208.00
8	Lasher Pick Head – 3Kg	30	345.68	10,370.40
9	Mattock Cutter 3Kg (no handle)	6	397.47	2,384.82
10	Pick Handle (Plastic)	36	206.99	7,451.64
11	Lasher Shovels Round Nose	25	297.30	7,432.50
12	Spade Digging (Lasher)	25	276.57	6,914.25
13	Garden Fork (Lasher) 4-prong	30	428.65	12,859.50
14	Hoe Head (raised head)	50	160.82	8,041.00
15	Hoe Handle 1st Grade wood	50	93.87	4,693.50
16	Lasher Slasher	30	122.65	3,679.50
17	Heavy Duty Wheelbarrow	7	1,604.80	11,233.60
18	10,000L Water Tank (JojoTanks)	12	13,587.78	163,053.36
19	Hammer (Clawed with Steel handle)	15	299.95	4,499.25
20	Axe Felling Hickory Handle	3	573.87	1,721.61
21	Cane Knife (300 Hook)	15	172.13	2,581.95
22	PTFE Tape Q2	12	17.34	208.08
23	Lasher Crowbar (Umngcala) 25mm × 1.2M	9	595.60	5,360.40
	FENCING & TOOLS SUBTOTAL			E 672,212.76

5.2 Seedlings & Plants — E 8,700,000

#	Item	Quantity	Unit Price (E)	Total (E)
1	Arabica Coffee Seedlings	240,000	30.00	7,200,000.00
2	Banana Seedlings (shade)	12,000	50.00	600,000.00
3	Macadamia Seedlings (shade)	12,000	75.00	900,000.00
	SEEDLINGS SUBTOTAL			E 8,700,000.00

Seedling Distribution Plan:

Location	Coffee	Banana	Macadamia
Tikhuba (10 Ha)	40,000	2,000	2,000
Gamula (30 Ha)	120,000	6,000	6,000
Mpolonjeni (20 Ha)	80,000	4,000	4,000
TOTAL	240,000	12,000	12,000

5.3 Coffee Investment Summary

Category	Amount (E)
Fencing, Infrastructure & Tools	672,213
Coffee Seedlings (240,000)	7,200,000
Banana Seedlings (12,000)	600,000
Macadamia Seedlings (12,000)	900,000
COFFEE PROJECT TOTAL	E 9,372,213

6. Coffee Project — Revenue Projections

6.1 Production Timeline

Year	Activity	Coffee Yield
Year 1-2	Tree establishment, shade crop income	—
Year 3	First harvest (partial)	120,000 kg
Year 4	Growing harvest	360,000 kg
Year 5	Full production	600,000 kg

Based on 2.5-5kg per tree at maturity, conservative estimates

6.2 Coffee Revenue Projection

Year	Volume (kg)	Price/kg (E)	Coffee Revenue (E)
Year 3	120,000	150	18,000,000
Year 4	360,000	160	57,600,000
Year 5	600,000	170	102,000,000

6.3 Companion Crop Revenue (Interim Income)

Year	Banana Revenue (E)	Macadamia Revenue (E)	Total (E)
Year 2	1,200,000	600,000	1,800,000
Year 3	1,800,000	1,200,000	3,000,000
Year 4	2,400,000	2,400,000	4,800,000

PILLAR 2: Spring Water Bottling

Investment: E 304,000

7. Spring Water Project

7.1 Market Opportunity

Metric	Value
Southern African Bottled Water Market	USD 2.1 billion
Annual Growth	8-10%
Premium Segment Growth	15%+

Eswatini's pristine highland springs at Tikhuba offer exceptional quality water with natural mineral content, positioning for premium market segments.

7.2 Facility Specifications

Element	Specification
Location	Tikhuba (spring site)
Facility Type	Container-based processing plant
Capacity	2,000 liters/day (initial)
Products	Still water (500ml, 1L, 5L)
Launch Target	Q1 2026

7.3 Spring Water Budget

Item	Specification	Total (E)
Shipping container	Modified/insulated 6m	55,000
Bottling equipment	Small-scale complete line	165,000
Initial materials	Bottles, caps, labels	40,000
Site preparation	Concrete slab, plumbing	18,000
Licensing & permits	Food/beverage compliance	18,000
Laboratory testing	Quality certification	8,000
SPRING WATER TOTAL		E 304,000

7.4 Spring Water Revenue Projection

Year	Daily Output	Price/L (E)	Annual Revenue (E)
Year 1	1,000L	8	2,920,000
Year 2	1,500L	8	4,380,000
Year 3	2,000L	9	6,570,000
Year 4	2,500L	9	8,212,500
Year 5	3,000L	10	10,950,000

Key Advantage: Spring water generates **immediate revenue from Month 1**, providing crucial cash flow while coffee matures.

PILLAR 3: Dairy Value Chain

Investment: R 12,448,444

8. Dairy Project — Market Opportunity

8.1 The Dairy Gap

The Kingdom of Eswatini faces a **critical dairy deficit**:

Metric	Value
Annual Dairy Consumption	~88 million liters
Local Production	<25% (~22 million liters)
Import Dependency	76% (~66 million liters)
Annual Import Cost	~R 70 million+

This heavy reliance on external supply leaves the country vulnerable to: - Global market price volatility - Supply chain disruptions - Currency fluctuations - Food insecurity

8.2 The Solution

A **vertically integrated milk and Amasi processing company** that: - Sources raw milk from local farmers at fair trade prices (R11/liter vs. market R7) - Processes using state-of-the-art equipment - Distributes value-added dairy products to domestic market

8.3 Strategic Alignment

National Priority	Project Alignment
Food Security	Reduces 76% import dependency
Job Creation	50+ direct jobs, 200+ farming jobs
Youth Empowerment	Training programs, farm partnerships
Rural Development	Smallholder farmer integration

9. Dairy Project — Business Model

9.1 Value Chain Strategy

DAIRY VALUE CHAIN				
SOURCING	PROCESSING	PACKAGING	DISTRIBUTION	RETAIL
Local Farmers	UHT Plant	Tetra Pack	Cold Chain	OK Stores
Fair Trade	Pasteurizer	Pouches	Logistics	Spar
R11/liter	Homogenizer	Eco-friendly	Schools	Pick n Pay
	Fermentation		Hospitals	Wholesalers

9.2 Production Capacity

Product	Daily Capacity	Annual (300 days)
UHT Milk	6,000 liters	1,800,000 liters
Amasi (Fermented Milk)	4,000 liters	1,200,000 liters
TOTAL	10,000 liters	3,000,000 liters

9.3 Product Line

Phase 1 — Initial Products (Year 1-2):

Product	Target Market	Packaging	Price
UHT Milk	Urban households, schools, hospitals	500ml, 1L Tetra	R19-22/L
Amasi	Traditional consumers, feeding programs	500ml pouches, 2L containers	~R15/L

Phase 2 — Expansion (Year 3+): - Yogurt (plain and flavored) - Cheese (cheddar, gouda, soft) - Butter (fresh and shelf-stable)

10. Dairy Project — Budget

10.1 Capital Expenditure (CAPEX)

#	Item	Amount (R)	% of Total
1	UHT Plant (10,000L capacity)	15,000,000	47%
2	Pasteurizer (Industrial)	2,500,000	8%
3	Homogenizer (High-capacity)	5,000,000	16%
4	Fermentation Tanks (4,000L)	150,000	0.5%
5	Filler Machine (High-speed)	5,500,000	17%
6	Labeling Machine	350,000	1%
7	Cold Storage (Industrial)	1,500,000	5%
	CAPEX SUBTOTAL	R 30,000,000	94%

10.2 Operating Expenses (First Year at Full Capacity)

Item	Monthly (R)	Annual (R)
Cost of Sales (3M L × R11)	2,750,000	33,000,000
Rental Costs	80,000	960,000
Logistics & Distribution	120,000	1,440,000
Marketing	80,000	960,000
Salaries & Wages (25 staff)	250,000	3,000,000
Utilities & Maintenance	100,000	1,200,000
OPEX TOTAL	3,380,000	40,560,000

10.3 Dairy Investment Summary

Category	Amount (R)
Capital Equipment (CAPEX)	30,000,000
Working Capital (3 months buffer)	2,000,000
DAIRY PROJECT TOTAL	R 32,000,000

11. Dairy Project — Financial Projections

11.1 Key Assumptions

Parameter	Value
Production Volume	10,000 L/day
Operational Days	300/year
Annual Volume	3,000,000 liters
Average Selling Price	R20/liter
Milk Procurement Cost	R11/liter (fair trade)

11.2 Profit & Loss Projection (5 Years)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	R60.0M	R63.0M	R66.2M	R69.5M	R73.0M
Cost of Sales	R33.0M	R34.7M	R36.4M	R38.2M	R40.1M
Gross Profit	R27.0M	R28.4M	R29.8M	R31.3M	R32.9M
Operating Expenses	R7.6M	R8.0M	R8.4M	R8.8M	R9.2M
Profit Before Tax	R19.4M	R20.4M	R21.4M	R22.5M	R23.6M
Taxation (27.5%)	R5.3M	R5.6M	R5.9M	R6.2M	R6.5M
Net Profit	R14.1M	R14.8M	R15.5M	R16.3M	R17.1M

11.3 5-Year Summary

Metric	Cumulative (5 Years)
Total Revenue	R 331,700,000
Total Gross Profit	R 149,400,000
Total Net Profit	R 77,800,000

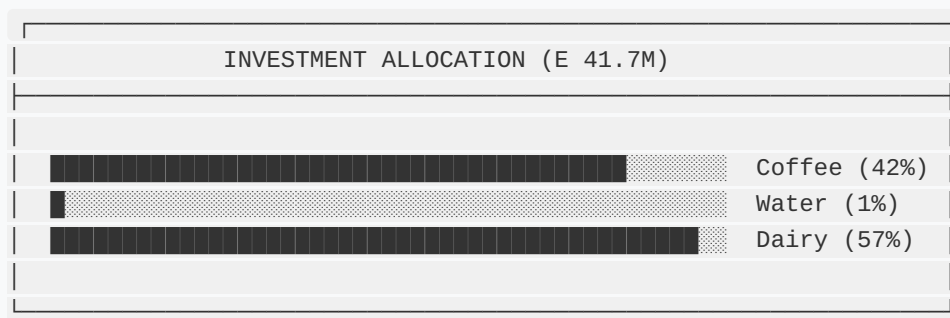
12. Consolidated Investment Summary

12.1 Total Investment Required

Project Pillar	Investment Amount	Currency
Coffee Production	E 9,372,213	SZL
Spring Water Bottling	E 304,000	SZL
Dairy Value Chain	R 32,000,000	ZAR
TOTAL INVESTMENT	E 41,676,213	SZL

Note: SZL and ZAR at 1:1 parity

12.2 Investment Allocation



12.3 Use of Funds Summary

Category	Coffee	Water	Dairy	TOTAL
Infrastructure/Equipment	E 672K	E 304K	R 30M	E 31M
Seedlings/Inputs	E 8.7M	—	—	E 8.7M
Working Capital	—	—	R 2M	E 2M
TOTAL	E 9.4M	E 0.3M	R 32M	E 41.7M

13. Consolidated Revenue Projections

13.1 Revenue by Pillar (5 Years)

Year	Coffee	Water	Dairy	Companion Crops	
Year 1	—	E 2.9M	R 60.0M	—	E 62.9M
Year 2	—	E 4.4M	R 63.0M	E 1.8M	E 69.2M
Year 3	E 18.0M	E 6.6M	R 66.2M	E 3.0M	E 93.8M
Year 4	E 57.6M	E 8.2M	R 69.5M	E 4.8M	E 140.1M
Year 5	E 102.0M	E 11.0M	R 73.0M	E 6.0M	E 192.0M
5-Year Total	E 177.6M	E 33.1M	R 331.7M	E 15.6M	E 558.0M

13.2 Cumulative Returns

Metric	Value
Total Investment	E 41,676,213
5-Year Revenue	E 558,000,000
Estimated 5-Year Net Profit	E 165,000,000+
5-Year ROI	~396%
Payback Period	18-24 months (dairy + water)

14. Risk Analysis & Mitigation

Risk	Likelihood	Impact	Mitigation Strategy
Coffee market price volatility	Low	Medium	Guaranteed off-take agreement with Patrick DuPont
Climate/weather events	Medium	High	Irrigation systems, shade trees, 3-site diversification
Dairy equipment delays	Medium	Medium	Advance procurement, local installation support
Competition (dairy)	Medium	Medium	Fair-trade farmer pricing, quality differentiation
Regulatory changes	Low	Low	Strong government support, policy alignment
Operational delays	Medium	Low	20% contingency buffer, experienced management

Key Risk Mitigators: 1. **Coffee:** Pre-arranged off-take agreement eliminates market risk 2. **Water:** Immediate revenue provides cash flow buffer 3. **Dairy:** Massive import gap ensures domestic demand 4. **Portfolio:** Diversification across 3 projects reduces concentration risk

15. Implementation Timeline

15.1 Year 1 (2026) — Foundation

Quarter	Coffee	Water	Dairy
Q1	Site preparation, fencing begins	Plant setup, launch	Equipment procurement
Q2	Shade plant establishment	Operations commence	Installation, staff onboarding
Q3	Coffee seedling planting begins	Market expansion	Production starts
Q4	Complete planting	Steady operations	Full production

15.2 Year 2-3 (2027-2028) — Growth

- Coffee: Tree nurturing, first partial harvest (Year 3)
- Water: Capacity expansion to 2,000L/day
- Dairy: Product diversification (yogurt, cheese)

15.3 Year 4-5 (2029-2030) — Scale

- Coffee: Full production, export market entry
- Water: Premium brand establishment
- Dairy: 5% market share capture, regional expansion

16. Social Impact

16.1 Job Creation

Category	Direct Jobs	Indirect Jobs	Total
Coffee Farming	80	250	330
Spring Water	10	30	40
Dairy Processing	50	200	250
TOTAL	140	480	620

16.2 Farmer Empowerment

Initiative	Beneficiaries
Smallholder coffee contracts	500+ farmers
Dairy farmer partnerships	200+ farmers
Fair trade premium payments	All suppliers
Training & capacity building	1,000+ participants

16.3 Youth & Women Empowerment

- Priority hiring for youth (18-35)
- Women-focused farming cooperatives
- Skills training programs
- Entrepreneurship incubation

17. Governance & Management

17.1 Board Structure

Role	Composition
Chairman	Alex Tsela (ATG Holdings)
Board Members	PSPF representative, Independent directors
Project Manager	Geoffrey M. Tsela
Advisory	Industry experts (coffee, dairy)

17.2 Management Team

Function	Responsibility
Chairman (Alex Tsela)	Strategy, investor relations, governance
Project Manager (Geoffrey M. Tsela)	Overall project execution, operations
Finance Manager	Budget, reporting, compliance
Production Manager	Dairy plant operations
Quality Assurance	Food safety, certifications

17.3 Reporting & Accountability

- Monthly operational reports
- Quarterly financial statements
- Annual independent audit
- PSPF board representation

18. Conclusion & Call to Action

18.1 Investment Thesis

ATG Holdings presents a unique opportunity for the PSPF to invest in a **diversified, high-impact agricultural portfolio** that delivers:

Dimension	Value Proposition
Financial Returns	45-55% ROI by Year 3, 396% over 5 years
Food Security	Reduces 76% dairy imports (3M liters/year), local coffee production
Job Creation	620+ jobs (direct and indirect)
Economic Development	Export revenue, import substitution
ESG Impact	Smallholder empowerment, youth employment

18.2 Investment Request Summary

Project	Investment	Key Return Driver
Coffee Production	E 9,372,213	Export revenue, guaranteed off-take
Spring Water	E 304,000	Immediate cash flow
Dairy Value Chain	R 32,000,000	Import substitution, 10,000L/day capacity
TOTAL	E 41,676,213	Diversified, resilient portfolio

18.3 Next Steps

1. **Due Diligence:** Site visits to Tikhuba, Gamula, Mpolonjeni
2. **Term Sheet:** Investment structure and governance agreement
3. **Legal Documentation:** Shareholder agreement, security arrangements
4. **Disbursement:** Phased capital release against milestones
5. **Launch:** Q1 2026 operations commencement

Contact Information

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This document is confidential and intended solely for the recipient. The information contained herein is based on current market conditions and projections that may change. ATG Holdings welcomes the opportunity to provide additional information or clarification as required.

Prepared by: ATG Holdings

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